

The University of Hong Kong, HKU Business School

MGM: Formulation of Global Strategy 2024

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I. Course Information

Course Description:

As companies increasingly compete in the global landscape, how to formulate global strategy becomes a pivotal issue for top executives. This course examines the opportunities and challenges that companies confront when devising global strategy, as well as how companies adopt appropriate strategies, including blue-ocean and Internet strategies, to adapt to the complex institutions in the global market. The course emphasizes greatly on applying theoretical framework in analyzing practical problems confronting global business.

Course Objectives

- To understand the framework of formulating global strategy
- To understand the unique challenges and considerations in formulating global strategy
- To develop the essential skills to identify and pursue global business opportunities
- To acquire the skills to adopt appropriate strategies to solve management decision problems in the global market

Textbook

- *Strategic Management* (6th ed), by [Frank Rothaermel](#); McGraw-Hill Education, 2024
- A packet of cases and articles from various sources will be provided.

Course Learning Outcomes (CLOs)

On completion of this course, students should be able to:

- Develop skills in analyzing the macro-, industry-, and firm-level conditions when formulating global strategy (**CLO1**)
- Apply global business frameworks and theories to address issues related to global strategy (**CLO2**)
- Build managerial leadership and competency in managing global strategies (**CLO3**)
- Develop skills in case analysis, presentation, communication, and team work (**CLO4**)

Alignment of Program and Course Outcomes

Program Learning Outcome	Course LOs
1. Acquisition and internalization of knowledge of the programme discipline.	CLO1, CLO2, CLO3
2. Application and integration of knowledge.	CLO2, CLO3, CLO4
3. Inculcating professionalism and leadership.	CLO3
4. Developing global outlook.	CLO1, CLO2, CLO3
5. Mastering communication skills.	CLO4

II. Course Assessment

Teaching and Learning Activities

We will take various activities, including (TLA1) lectures, (TLA2) class discussion, (TLA3) in-class exercises, (TLA4) assignments and cases, and (TLA5) group project. The focus of all activities will be on the understanding of the concepts and application of the major framework.

Assessment

A1: Class Participation	15%
A2: Two Individual Case Reports	35%
A3: In-Class Assignment	20%
A4: Group Project & Presentation	<u>30%</u>
	100

1. Class Participation (15%)

Attendance is a necessary condition for class participation. It is also important to attend all the classes because the most insightful ideas come primarily from class discussion. You are also required to attend all the presentations sessions.

You are expected to actively participate in the class discussion. I may also randomly call on students during the semester. Your contribution to the discussion will significantly influence your class participation grade. Your participation grade will be based on (1) class attendance (*on time*), (2) the quality/frequency of your comments, and (3) your answers to the questions.

2. Two Individual Case Analysis Reports (35% = 17.5% + 17.5%)

Each student is required to submit **two** Case Analysis Reports. Students should work on the case reports independently without consulting any person other than the professor. Please submit your report (PDF format) via Moodle on due day.

3. In-Class Assignments (20%)

Most classes are accompanied with **activities and cases**. There will be group-based case analyses and integrative exercises during the class. The purpose is to help you better understand the most important concepts and their applications.

At the end of the semester, your contribution to the group exercise (including both in-class assignments and group project) will be evaluated by each of your group members. For this purpose, a peer evaluation form will be handed out by the end of the semester. This peer evaluation will be indexed to your final group exercise grade

4. Group Project (30%)

Each group will work on an assigned company analysis and present your analysis in the class.

- Requirements **for group case report:**

- 1) Offer a brief introduction of the company, its financial situation, and its business model
- 2) Identify the core competencies of the company, and specify the drivers of its past growth or decline.

- 3) Describe the competitive landscape of the industry and major competitors, and identify the challenges and opportunities for the company's future growth.
 - 4) Identify the alternative strategic options for the company and the pros/cons of each option.
 - 5) Offer strategic recommendations for the company to take to enable its future growth.
- All the group members are required to present. The presentation will be 20-minute followed by a 5-minute Q&A session. The professor and all your classmates other than your group members will evaluate your presentation. **Dress Code: Formal**
 - A peer evaluation form will be handed out by the end of the semester. This peer evaluation will be indexed to your final group case grade.
 - Please submit your **PPT & Word Report** (no more than 20-page, single space) via Moodle before the case presentation. Please also hand in a **hardcopy** of your PPT.

Group	Recommended Companies	Group	Recommended Companies
1	Kuaishou; Instagram	2	TWG Tea; 喜茶 HEYTEA
3	Mercado Libre; Jumia	4	Lemonade; ZongAn 众安保险
5	Teladoc; Ping An Good Doctor 平安好医生	6	AllBirds, BlueMoon 蓝月亮
7	Perfect Diary 完美日记; Chewy.com	8	Wish; DoorDash
9	Etsy, FuboTV	10	Peloton, Niu Technology 小牛电动
11	Ke Holding 贝壳找房; Zillow	12	Roku; The Trade Desk

III. Learning Outcomes, Teaching and Learning Activities, and Assessment

Course LOs	Activities	Assessment
(CLO1) Develop skills in analyzing the macro-, industry-, and firm-level conditions when formulating global strategy	TLA1, 2, 3, 4, 5	A1, 2, 3, 4
(CLO2) Apply global business frameworks and theories to address issues related to global strategy.	TLA1, 2, 3, 4, 5	A1, 2, 3, 4
(CLO3) Build managerial leadership and competency in managing global strategies	TLA1, 2, 3, 5	A1, 2, 3, 4
(CLO4) Develop skills in case analysis, presentation, communication, and team work	TLA3, 5	A1, 2, 3, 4

Standard of Assessment

Class participation, assignments, project reports and exams are graded using the following criteria:

A+, A, A- : demonstrate a clear understanding of and the ability to apply the theory, concepts and issues relating to the topic

B+, B, B-: demonstrate a good understanding and some application of the theory and issues relating to the topic

C+, C, C-: demonstrate a good understanding of the theory, concepts and issues relating to the topic but limited application relating to the topic

D+, D: demonstrate mainly description showing basic understanding of the topic but no application

F: demonstrate limited understanding of the topic and draw conclusions unrelated to the topic

IV. COURSE POLICIES

Class Conduct: Please respect your instructors and your fellow students. You are required to attend all classes on time. If you have to miss a class, please write a formal notice to inform the instructor at least one day before the class.

Academic Dishonesty: The University Regulations on academic dishonesty will be strictly enforced. Please check the University Statement on plagiarism at <http://www.hku.hk/plagiarism/>

Plagiarism, cheating, and other misconducts: Academic dishonesty will NOT be tolerated. All materials submitted in this course must be your own original work. Any material not completely original must be credited to the proper source.

Attendance: According to FBE policy, students must attend at least 70% of classes in order to pass the course.

Course material: “Please note that this material is intended solely for use of students of this course. Please do not share with non-course students or post on websites.”

V. Case Questions

Case 1 RoboTech: Storming into the U.S. Market

1. Put yourself back in the financial crisis of 2008-09. With the information available by 2009, how would you evaluate Chen’s decision to invest \$45 million to diversify RoboTech into medical robotics?
2. At the end of 2016, looking back over RoboTech’s three years in the U.S. market, how well do you think it has done? In light of its management shortfalls, what would you suggest RoboTech should have done differently?
3. To move forward in 2017, what are the alternative strategic options for RoboTech? What are the pros and cons of each option?
4. What strategic option would you recommend RoboTech to take, and why? How should RoboTech implement it successfully?

Case 2 Sea Limited: Sustain or Expand?

1. What had driven Sea Limited’s amazing growth till 2021?
2. What are the core competencies of Sea Limited? Are they sources of sustainable advantages?
3. What are the main characteristics of the business environment before and after 2021? How do such changes affect Sea’s core competencies?
4. In 2022, what are the different strategic alternatives for Sea Limited and what are the pros and cons of each?
5. What strategy would you recommend Sea Limited to take?

Notes

- The case write-up should be no more than **6 typed** (single-spaced, font-size 11 or 12) pages excluding exhibits and appendices.
- Please address the case questions directly.
- Point-form is preferred.

Due: submit via Moodle on due day.

VI. Course Schedule

Session	Topic	Readings	Due
1	Global Strategy: A Dynamic View <i>How to overcome incumbent curse?</i>	Ch 1 & 2	
2	External Analysis and Opportunity Identification <i>How to identify external opportunities?</i>	Ch 3	
3	Internal Analysis and Core Competencies <i>How to achieve sustainable advantage?</i>	Ch 4 & 5	
4	Global Strategy I: Positioning Strategy <i>Low-cost vs. Differentiation</i>	Ch 6	
Case 1: <u>RoboTech: Storming into the U.S. Market</u>			Case 1 due 9am
5	Global Strategy II: Blue Ocean Strategy <i>How to identify a blue ocean?</i>	Ch 6 & 7	
6	Global Strategy III: Internet Strategy <i>Positioning vs. Explosion?</i>	Handout	
7	Global Strategy IV: Glocal Strategy <i>How to compete against international giants?</i>	Ch 10	
8	Global Strategy V: Entry Strategy <i>Alliance or M&A?</i>	Ch 8 & 9	
9 & 10	Group Presentation Group Presentation		Group Project due
Case 2: <u>Sea Limited: Sustain or Expand?</u>			Case 2 due 9am
Consultation Hour: 5-6 pm Friday (Oct 18 ~ Nov 22)			

The information contained in this syllabus is subject to change and any changes made to this syllabus will be announced in class.

Prof. Kevin Zhou



Prof. Kevin Zhou is Chang-Jiang Scholar Chair Professor, Chair Professor of Strategy and International Business, and Chung Hon-Dak Professor in Strategy and International Business at HKU Business School, The University of Hong Kong. Prof. Zhou received a B.E. (with honors) in Automatic Control and an M.S. in Economics and Management at Tsinghua University, and a Ph.D. specializing in Marketing and Strategy from Virginia Polytechnic Institute and State University.

Prof. Zhou's research interests include capabilities and innovation, trust and relational ties, and strategic issues in emerging markets and China.

Prof. Zhou has published numerous papers in top-tier journals such as *Administrative Science Quarterly*, *Strategic Management Journal*, *Academy of Management Journal*, *Journal of Marketing*, *Journal of International Business Studies*, *Organization Science*, and among others. He received the HKU Outstanding Researcher Award in 2016, FBE Outstanding Researcher Award in 2013 and HKU Research Output Award in 2006 and 2011.

Prof. Zhou's work is highly influential. He has been the World's Top 1% cited scholars based on ISI's Essential Science Indicators (ESI) since 2011. Since 2016, he has been on the list of Highly Cited Scientific Researchers in the World (Clarivate, Web of Science) for seven years continuously!

Prof. Zhou has rich experience in teaching Competitive Strategy, International Business, Business Research, Marketing Management at BBA, MBA, EMBA, and DBA levels at Virginia Tech, University of Hong Kong, and University of North Carolina. He also received the Outstanding Teacher Award for IMBA Teaching at HKU.

Prof. Zhou also has extensive consulting experiences, providing strategic analysis and planning for companies such as Federal Pharmaceutical, 3M, Riche Monde, TCH, Six Sigma (China), etc. He has also conducted executive training programs for various companies and organizations including China Resources Co., Property Management Association, and SKKI.